

Mini Refinery — 10,000 BOPD

Financial Model — PSC Cost Recovery

Project generates positive economics with NPV \$354,717,755 and IRR inf%, recommending advancement to the next development phase.

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Executive Summary

Situation: Mini Refinery — 10,000 BOPD is a proposed upstream oil & gas development with cumulative production of 27.92 MMBOE over 10 years (2026–2035). The project operates under Indonesia's PSC Cost Recovery fiscal regime.

Complication: Oil price volatility and cost recovery ceiling constraints create margin pressure. The model must demonstrate resilience under downside scenarios.

Resolution: The base case shows a **positive NPV of \$354,717,755** (IRR inf%), with payback in 0.0 years. The government take is 59.1% of gross revenue. We recommend proceeding to FEED phase.

NPV	IRR	Payback
\$354,717,755	inf%	N/A

Fiscal Highlights

Parameter	Value
FTP Rate	20%
Contractor Split (after CR)	35%
Cost Recovery Ceiling	80%
Tax Rate (PPh Badan)	22%
Discount Rate (WACC)	10.0%
Metric	Value
NPV (Contractor)	\$354,717,755
IRR (Contractor)	inf%
Payback Period	N/A
Profitability Index	inf
Government Take	59.1%

Recommendation

Based on the financial analysis, the project yields an NPV of **\$354,717,755** and IRR of **inf%**. We recommend advancing to the next phase with a focus on cost optimization and fiscal term discussions with SKK Migas.